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* **IN THE HIGH COURT OF DELHI AT NEW DELHI**

% Reserved on: 21.02.2023

Pronounced on: 14.03.2023

\+ **CRL.M.C. 2417/2022 & CRL.M.A. 10311/2022**

TRILOK RAJ ARORA ..... Petitioner

Through: Mr. Gautam Rawat and Ms. Ishita Verma, Advocates.

versus

M/S SHYAMLAL KHEMKA TRADERS & ANR. ..... Respondents

Through: Mr. Pankaj Lamba, Advocate for R-1.
Mr. Rahul Mehra, APP for the State.

CORAM:
HON'BLE MR. JUSTICE ARVIND KUMAR BHALLA

JUDGMENT

1. This petition under Section 482 of the Code of Criminal Procedure, 1973 ("CrPC") assails Complaint Case No. 3318/2019 pending before the learned Metropolitan Magistrate (NI Act), Digital Court-02, Rohini Courts, Delhi, instituted under Section 138 of the Negotiable Instruments Act, 1881 ("the NI Act"), and the summoning order dated 17.01.2020 passed therein.

2. The respondent No.1 is a trading firm which supplied packaging material to the petitioner between 2013 and 2015. As per the complaint, the last supply was made on 12.08.2015 and the running account reflected a balance of Rs.6,40,000/- payable by the petitioner. The petitioner thereafter issued cheque No. 004417 dated 02.11.2019 for Rs.6,40,000/-, which was returned unpaid on 19.11.2019 with the remark "Funds Insufficient". A statutory notice dated 06.12.2019 was not complied with and the complaint was filed.

3. Learned counsel for the petitioner submits that limitation for recovery of the supplies expired on 11.08.2018, that no acknowledgment of liability or promise to pay was made in writing before or after that date, and that the cheque dated 02.11.2019 was therefore issued towards a debt which was no longer legally enforceable. It is urged that an essential ingredient of Section 138 of the NI Act is absent.

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4. Learned counsel for respondent No.1 submits that limitation extinguishes only the remedy and not the debt, that the cheque is itself a promise in writing signed by the drawer within the meaning of Section 25(3) of the Indian Contract Act, 1872, and that the presumptions under Sections 118 and 139 of the NI Act can be rebutted only at trial.

5. I have heard learned counsel for the parties and perused the record. The question that arises for consideration is whether a complaint under Section 138 of the NI Act is maintainable where the cheque is issued towards a time-barred debt and the only promise relied upon is the cheque itself.

6. The Explanation to Section 138 of the NI Act defines "debt or other liability" to mean a legally enforceable debt or other liability. A debt barred by the law of limitation cannot be enforced by action. The sole statutory exception is found in Section 25(3) of the Indian Contract Act, 1872, which validates a promise, made in writing and signed by the person to be charged, to pay wholly or in part a debt of which the creditor might have enforced payment but for the law of limitation.

7. A promise under Section 25(3) is a conscious and express undertaking to pay a debt which the promisor knows to be barred. A cheque, on the other hand, is a bill of exchange drawn on a banker and payable on demand. It is an order to the bank to pay and not, without more, an acknowledgment that the drawer is aware of the bar of limitation and nonetheless binds himself to pay. To read every cheque as a Section 25(3) promise would be to presume the very consciousness which the provision requires.

8. Were the position otherwise, a creditor could revive a dead claim merely by obtaining a post-dated cheque from the debtor, and the bar of limitation would stand obliterated through the coercive machinery of a criminal complaint. Section 138 is a penal provision and its ingredients must be strictly construed.

9. This Court therefore holds that a cheque issued towards a debt that is already barred by limitation, unaccompanied by a fresh written promise to pay within the meaning of Section 25(3) of the Indian Contract Act, 1872, is not issued in discharge of a "legally enforceable debt or other liability", and no offence under Section 138 of the Negotiable Instruments Act, 1881 is made out.

10. Applying the above, the complaint does not plead any letter, ledger confirmation or other signed writing by which the petitioner undertook to pay the barred

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amount. The only document relied upon is the cheque dated 02.11.2019, issued more than a year after the debt became time-barred on 11.08.2018.

11. In these circumstances, continuation of the proceedings would amount to an abuse of the process of law. The petition is allowed. Complaint Case No. 3318/2019 and the summoning order dated 17.01.2020 are quashed qua the petitioner. Pending applications, if any, stand disposed of.

ARVIND KUMAR BHALLA, J

MARCH 14, 2023/ak

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